**25901838 Scheme for Valuation**
MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-BVOC (HONOURS) Regular EXAMINATION April 2026
Second SEMESTER
**Skill Development Components (SDC) - MG2SDCBFS100 - AUDITING**
(2025 ADMISSION ONWARDS)
Duration: 2 hours Maximum Marks: 70
Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)
Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.
Part A
VERY SHORT ANSWER. Answer any 10 questions. Each question carries 2 marks

1. **Explain how audit contributes to financial discipline. [U] / [CO1]**

Audit promotes financial discipline by ensuring accuracy and reliability in accounting records. It helps prevent fraud, errors, and misuse of funds through systematic examination of accounts.

2. **Show the role of physical verification in detecting asset misstatements. [A] / [CO2]**

Physical verification helps confirm the actual existence and condition of assets recorded in the books. It assists in detecting shortages, overstatements, theft, or obsolete assets.

3. **Mention the meaning of Internal Control Questionnaire. [U] / [CO3]**

An Internal Control Questionnaire is a set of questions used by auditors to evaluate the effectiveness of internal control systems in an organization. It helps identify weaknesses and areas requiring improvement.

4. **Mention the qualification needed for a company auditor. [U] / [CO4]**

A company auditor must be a Chartered Accountant as per the provisions of the Companies Act 2013. The auditor should also possess a valid certificate of practice.

5. **Show how basic principles guide the conduct of an audit. [An] / [CO1]**

Basic principles such as integrity, independence, confidentiality, and professional competence ensure the quality of audit work. These principles guide auditors in conducting audits objectively and ethically.

6. **Explain how social audit promotes corporate responsibility. [U] / [CO1]**

Social audit evaluates the social and environmental performance of an organization. It promotes corporate responsibility by ensuring accountability towards society and stakeholders.

7. **Distinguish between audit plan and audit programme in practical use. [U] / [CO2]**

An audit plan outlines the overall strategy and scope of the audit work. An audit programme contains detailed procedures and steps to be followed during the audit process.

8. **Show how auditor's duty extends beyond mere checking of books. [U] / [CO3]**

An auditor's duty includes verifying the authenticity of transactions and evaluating internal controls, apart from checking accounting records. The auditor also reports frauds, irregularities, and compliance issues.

9. **State any powers and duties of Comptroller and Auditor General. [U] / [CO4]**

The Comptroller and Auditor General of India has the power to audit government accounts and public sector undertakings. Its duty is to ensure proper utilization of public funds and financial accountability.

10. **Show the importance of management representation letter. [U] / [CO2]**

A management representation letter provides written confirmation from management regarding the accuracy of financial statements. It serves as audit evidence and reduces misunderstanding between management and auditors.

**11. Explain the misappropriation of cash. [U] / [CO1]**

Misappropriation of cash refers to the fraudulent use or theft of an organization's cash by employees or management. It may occur through embezzlement, unauthorized payments, or manipulation of cash records.

**12. Distinguish between permanent audit file and current audit file. [U] / [CO2]**

A permanent audit file contains long-term information such as legal documents and organizational details useful for future audits. A current audit file contains information and working papers related to the audit of the current accounting year.

Part B

SHORT ANSWER. Answer any 6 questions. Each question carries 5 marks

**13. Explain the meaning and types of vouchers used in audit. [An] / [CO3]**

Vouchers are documentary evidences that support business transactions recorded in the books of accounts. Auditors examine vouchers to verify the authenticity and accuracy of transactions. There are mainly two types of vouchers: primary vouchers and collateral vouchers. Primary vouchers include original documents such as invoices, receipts, and cash memos, while collateral vouchers include copies and supporting documents. Proper examination of vouchers helps detect frauds, errors, and unauthorized transactions.

**14. Analyse the powers and duties of a company auditor in protecting shareholders' interests. [An] / [CO4]**

A company auditor has the power to access books of accounts, vouchers, and other financial records of the company. The auditor has the duty to examine whether the financial statements present a true and fair view of the company's affairs. Auditors protect shareholders' interests by detecting frauds, errors, and mismanagement in financial reporting. They also ensure compliance with the provisions of the Companies Act 2013 and accounting standards. Through independent reporting, auditors increase the confidence of shareholders in the company's financial performance.

**15. Describe the procedure for vouching cash receipts. [A] / [CO3]**

Vouching cash receipts involves verifying all cash received by the business with supporting documents and records. The auditor checks entries in the cash book with receipts, counterfoils, bank pay-in slips, and invoices. Cash receipts from debtors are verified with duplicate receipts and customer accounts. The auditor also ensures that all receipts are properly recorded and deposited into the bank promptly. This procedure helps prevent misappropriation and omission of cash receipts.

**16. Explain the scope and importance of audit in the present business environment. [An] / [CO1]**

The scope of audit includes examination of financial records, verification of assets and liabilities, evaluation of internal controls, and ensuring legal compliance. In the modern business environment, audit plays an important role in maintaining transparency and accountability. Audits help stakeholders assess the financial health and reliability of an organization. They also assist in detecting frauds, improving operational efficiency, and strengthening corporate governance. With increasing complexity in business transactions, the importance of audit has grown significantly.

**17. Discuss the application of recomputation in verifying financial data. [A] / [CO2]**

Recomputation is an audit procedure in which the auditor independently checks the mathematical accuracy of financial records and calculations. It is applied to verify calculations related to depreciation, interest, payroll, inventory valuation, and tax computations. By recomputing figures, auditors can identify clerical errors and intentional manipulation in

accounts. Recomputation improves the reliability and accuracy of financial statements. It is an important technique used as audit evidence during verification.

**18. State the points to be considered for vouching receipts and payments. [An] / [CO3]**

While vouching receipts and payments, the auditor should ensure that transactions are genuine and properly authorized. Supporting documents such as receipts, invoices, vouchers, and bank statements must be carefully examined. The auditor should verify whether receipts are fully recorded and payments are made for business purposes only. Proper dates, amounts, and signatures should also be checked during vouching. Attention should be given to preventing duplicate payments, omissions, and fraudulent transactions.

**19. Examine the different types of audit reports and evaluate their implications for users. [An] / [CO4]**

Audit reports are formal opinions issued by auditors on the financial statements of an organization. An unqualified or clean report indicates that the financial statements present a true and fair view without material misstatements. A qualified report is issued when certain issues exist but are not severe enough to affect the entire financial statements. An adverse report indicates serious misstatements, while a disclaimer of opinion is issued when auditors cannot obtain sufficient evidence. These reports greatly influence investors, creditors, and other users in making financial and investment decisions.

Part C
ESSAY
Answer any 2 questions. Each question carries 10 marks

**20. Analyse the impact of misleading audit reports on capital markets and investor confidence. [An] / [CO4]**

Misleading audit reports can seriously affect the stability and credibility of capital markets. Investors rely heavily on audit reports to make informed investment decisions. When auditors provide incorrect or biased opinions, investors may invest in financially weak or fraudulent companies. This can lead to heavy financial losses and decline in shareholder wealth. Misleading reports reduce investor confidence in financial statements and corporate governance practices. They may also create panic in stock markets, resulting in sharp declines in share prices. Such situations damage the reputation of auditing professionals and financial institutions. Corporate scandals involving false audit reports can lead to stricter government regulations and legal actions against auditors. The trust of foreign and domestic investors in the financial system may also decline. Therefore, truthful and independent audit reporting is essential for maintaining transparency, market efficiency, and investor confidence.

**21. Explain the relationship and differences among book-keeping, accountancy and auditing with suitable examples. [E] / [CO1]**

Book-keeping, accountancy, and auditing are closely related functions in the field of accounting and finance. Book-keeping is the process of recording financial transactions systematically in books of accounts. For example, recording daily sales and purchases in journals and ledgers is part of book-keeping. Accountancy involves classifying, summarizing, analyzing, and interpreting financial data for decision-making purposes. Preparation of financial statements such as Trading Account, Profit and Loss Account, and Balance Sheet is part of accountancy. Auditing is the independent examination of financial records and statements to verify their accuracy and reliability. For example, an auditor checks whether the financial statements prepared by the accountant show a true and fair view. Book-keeping forms the foundation for accountancy, while auditing verifies the work performed in accountancy.

Book-keeping is clerical in nature, accountancy is analytical, and auditing is investigative and evaluative. Thus, all three functions are interconnected and essential for effective financial management.

**22. Explain how an auditor evaluates the reliability of audit evidence from different sources. [E] / [CO2]**

An auditor evaluates audit evidence to determine whether it is sufficient and appropriate for forming an audit opinion. Evidence obtained from external sources such as banks, customers, and suppliers is generally considered more reliable than internal evidence. Documentary evidence is usually more dependable than oral statements given by employees. The auditor also examines whether the internal control system of the organization is effective and trustworthy. Strong internal controls increase the reliability of internally generated evidence. Evidence obtained directly by the auditor through physical verification, observation, or recomputation is highly reliable. The auditor checks the authenticity, relevance, and consistency of documents and records collected during the audit. Corroborative evidence from multiple sources further improves reliability. Modern auditors also use analytical procedures and technology-based audit tools to assess evidence accuracy. Proper evaluation of audit evidence helps auditors issue fair and independent audit reports.